

China FX/Rates Monitor: The Policy Anchor Behind a Stronger CNY and Lower Rates

Our monitor tracks the latest developments and identifies key indicators for China FX and rates, including valuations/policy stance, technicals, flows, and fundamentals. Below we summarize our key takeaways on the China FX and rates markets.

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- **Broad easing requires clearer evidence of growth weakness.** The April data miss raised questions about whether policymakers would step up easing, but we think the threshold for broad easing is high. Growth has become more uneven, with exports still supporting headline growth while domestic demand, proxied by retail sales and fixed asset investment, softened notably. The April weakness may bring Q2 yoy GDP growth closer to the lower end of the 4.5-5% target range, but we do not think it marks an abrupt deterioration in the underlying growth trend. Part of the weakness reflected technical or policy-related factors, including residual seasonality and slower fiscal spending after a strong start to the year. Retail sales were also weighed down by the fading boost from consumer goods trade-in subsidies and the increase in EV purchase taxes. Some of these drags could fade, while fiscal support may catch up later this year as government bond issuance re-accelerates and policy financial instruments start to provide additional support. Oil-led reflation complicates the case for broad monetary easing. If oil prices stabilize, PPI inflation could peak around late Q2, but uncertainty around the reopening of the Strait of Hormuz keeps imported inflation risks elevated. Policy rate cuts therefore look difficult under elevated imported inflation. Instead, monetary policy is more likely to accommodate fiscal implementation through low-profile easing, such as keeping interbank liquidity ample, with interbank repo rates below the OMO target, and targeted credit easing, including more relending at lower rates. A sharper export slowdown or a more persistent deterioration in domestic demand would be the necessary triggers for a broader policy response.
- **Policy anchor behind CNY appreciation.** CNY appreciation has remained resilient even through periods of renewed Dollar strength. In March, when the Middle East energy shock initially triggered broad Dollar strength, USD/CNY only partially retraced its earlier decline and stabilized around 6.90, from around 6.82 before the shock. The appreciation trend resumed later, with USD/CNY spot breaking below 6.80 in late May despite renewed Dollar strength since mid-May. Policy signals from the PBOC remain key to interpreting the move. In our view, the central bank appears comfortable with orderly and gradual CNY appreciation against the USD, with a pace around 4% annualized likely fast enough to offset carry costs for foreign investors but slow enough to keep the drag on export

competitiveness and inflation limited. However, appreciation expectations have become more one-sided and have triggered stronger exporters' FX conversion. We estimate exporters have converted around US\$150bn more FX proceeds than normal since last December, against our earlier estimate that excess corporate USD hoarding reached around US\$500bn by mid-2025, the peak of this USD-hoarding cycle. This makes CNY appreciation more choppy and event-driven, with fixing changes easily read as policy signals. We expect CNY appreciation to continue (USD/CNY spot reaching 6.50 in 12 months), with some near-term overshooting risk; periods of Dollar strength may reduce near-term downside pressure on USD/CNY spot.

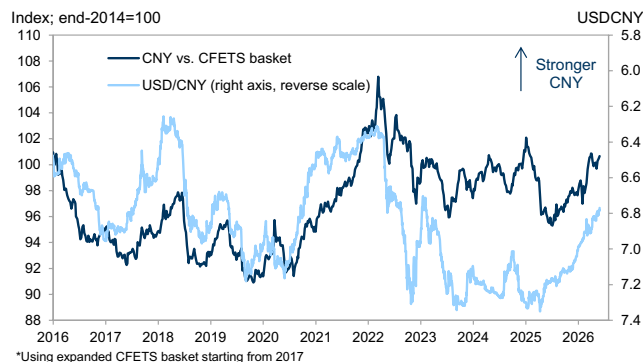
- **Liquidity anchor behind lower rates.** The recent rally in CGBs and decline in IRS rates have puzzled many investors, especially as oil-shock reflation has pushed inflation expectations higher. Our model-implied fair value for 10y CGB yields has risen to above 2%, mostly reflecting higher one-year-ahead CPI inflation expectations, while the 10y CGB yield has fallen to around 1.70%. The front end rates also look difficult to square with a no-cut baseline: 1y IRS is trading only around 3bp above the 1.4% OMO policy rate, while the 1y CGB yield is much lower at around 1.15%. Meanwhile, expectations for high-profile monetary policy easing, such as policy rate cuts, are low. Overnight repo rates (DR001) have also traded close to the lower bound of the interest rate corridor in April and even risen somewhat in May. Taken together, these developments would normally suggest limited downside to bond yields and IRS rates. The missing factor, in our view, is the asset-allocation pressure created by weak credit demand and limited alternative investable assets onshore. Soft loan demand leaves banks with more balance-sheet capacity for bond investment. In previous episodes of very low CGB yields and strong bank demand for bonds, the PBOC tended to warn against idle funds circulating within the financial system. This time, however, the PBOC's Q1 monetary policy report explicitly stated that banks' bond investment, like credit extension, is an important channel of financing the real economy and money creation. At the same time, limited room for domestic institutions to increase overseas investment keeps demand concentrated in onshore fixed-income assets. These flows can push CGB yields below model-implied fair value, even without policy rate cuts. For swaps, although the room for repo fixing to decline further is increasingly limited, wider swap spreads may attract receivers when spreads approach historical highs.
- **A sustained selloff requires higher repo rates.** We still expect China rates to remain low and see room for yields to move lower in the medium term if growth weakness becomes clearer or the liquidity anchor stays in place. That said, correction risks could rise into late June, given quarter-end liquidity demand and the market sensitivity to recent OMO operations. The PBOC's zero 7-day reverse repo operation earlier this week was read by markets as a warning of potential liquidity tightening. However, OMO injections resumed shortly after and demand for OMO funding may be low given its relatively high cost compared with interbank repos. In our view, the room for a sustained rates selloff should also be limited unless the PBOC is willing to repeat the 2020/2022 episodes of pushing repo rates above the OMO target. This looks like a high bar: repo rates are currently not far below the OMO rate (which was

not the case in 2020/2022), domestic demand and credit demand remain soft, and uncertainty around the Middle East energy shock is still elevated.

Foreign Exchange

1. Valuations and policy stance

Exhibit 1: CNY appreciated against USD by more than 3% year-to-date as of the end of May



Source: Bloomberg, Wind

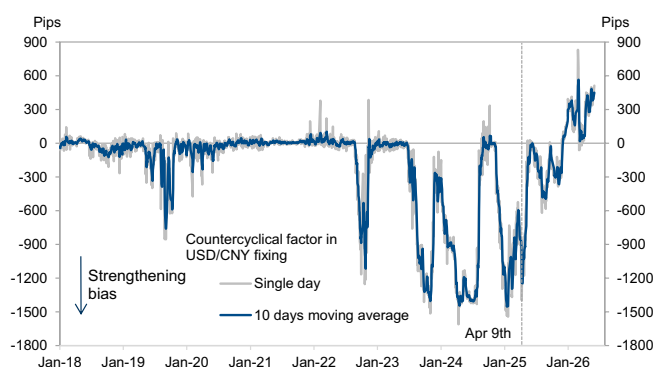
Exhibit 2: USD/CNH spot broke below 6.8 by mid-May despite a stronger Dollar



DXY: US Dollar Index, which measures the value of the US Dollar vs. a basket of currencies.

Source: Bloomberg

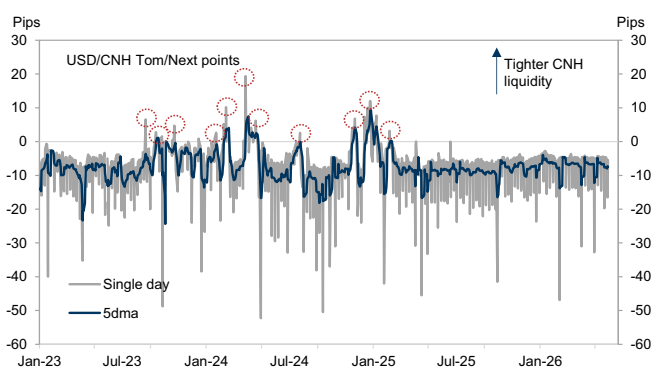
Exhibit 3: Countercyclical factor remained elevated at above +400pips in May, signaling PBOC's tendency to slow RMB appreciation against the Dollar



We measure the countercyclical factor by calculating the difference between the official daily CNY fixing and our estimation of the fixing based on official documents of CNY fixing mechanism.

Source: Bloomberg, Data compiled by Goldman Sachs Global Investment Research

Exhibit 4: USD/CNH Tom/Next points moved sideways over the past few months

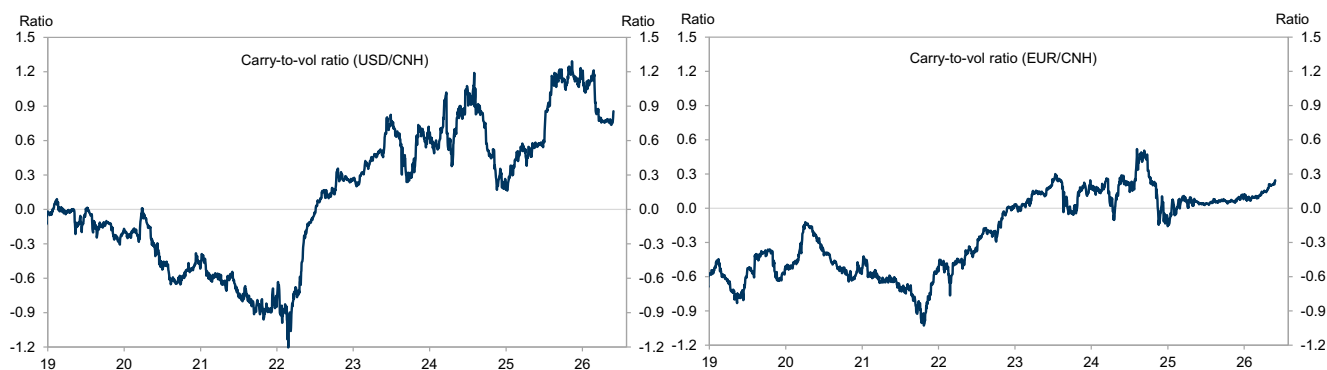


Tom/Next (Tomorrow next) is a short-term FX swap allowing investors to roll over their spot position. Positive (negative) Tom/Next points mean negative (positive) carry returns of long USD short CNH. Red circles indicate the timing of front-end CNH liquidity shortage (potential CNH liquidity management by the authorities).

Source: Bloomberg, Data compiled by Goldman Sachs Global Investment Research

2. Technicals

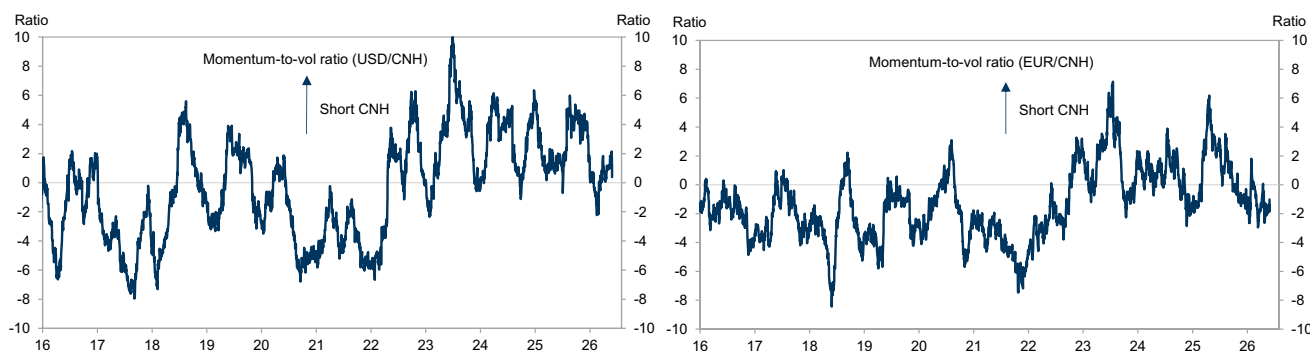
Exhibit 5: Carry-to-vol ratio for EUR/CNH picked up in Apr-May 2026



Carry is defined as annualized carry returns of 3m USD/CNH / EUR/CNH forward, and volatility refers to 3-month rolling realized volatility of FX total returns.

Source: Bloomberg, Goldman Sachs Global Investment Research

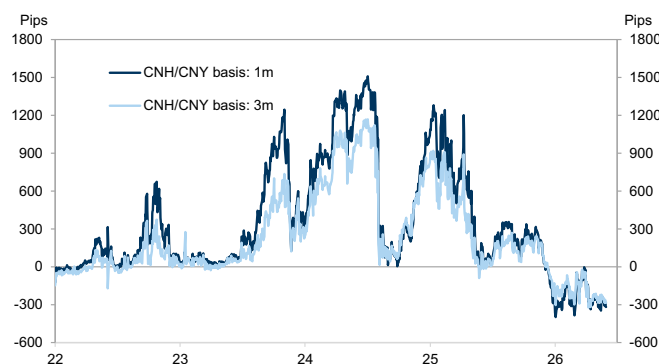
Exhibit 6: Momentum to buy CNH and sell EUR picked up over the past two months



Momentum is defined as 3-month cumulative FX total returns, and volatility refers to 3-month rolling realized volatility of FX total returns.

Source: Bloomberg, Goldman Sachs Global Investment Research

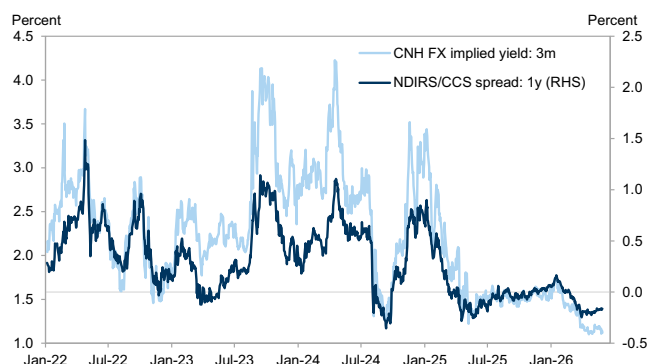
Exhibit 7: CNH/CNY basis remained at around -300pips in Apr-May 2026



CNH/CNY basis is defined as the difference between deliverable forward of USD/CNH and non-deliverable forward of USD/CNY.

Source: Bloomberg, Goldman Sachs Global Investment Research

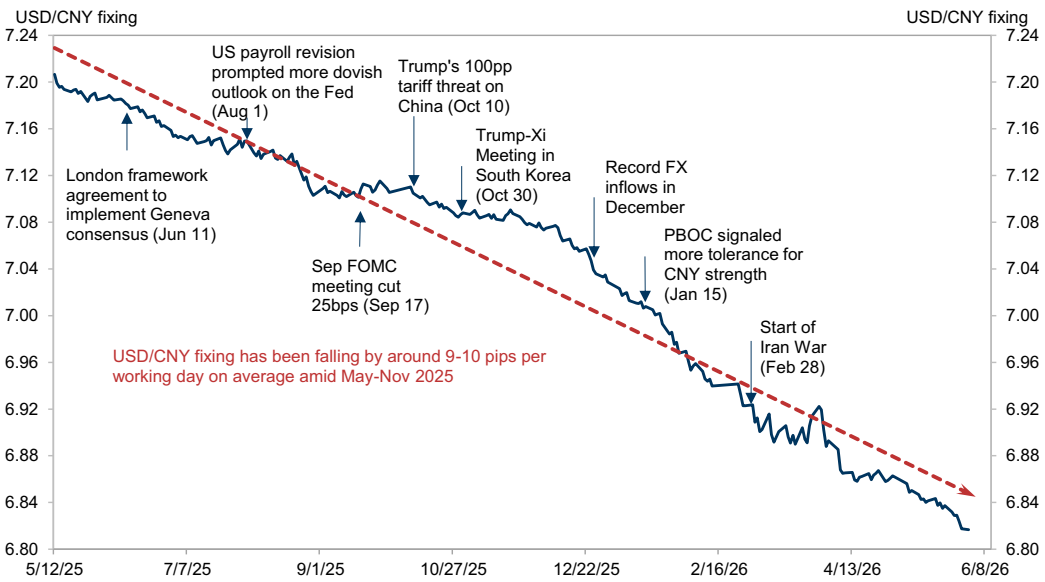
Exhibit 8: Cross-currency swap rate fell below NDIRS rate as CNH funding conditions eased



NDIRS/CCS spread: CNH cross-currency swap rate minus CNY non-deliverable interest rate swap rate.

Source: Bloomberg, Goldman Sachs Global Investment Research

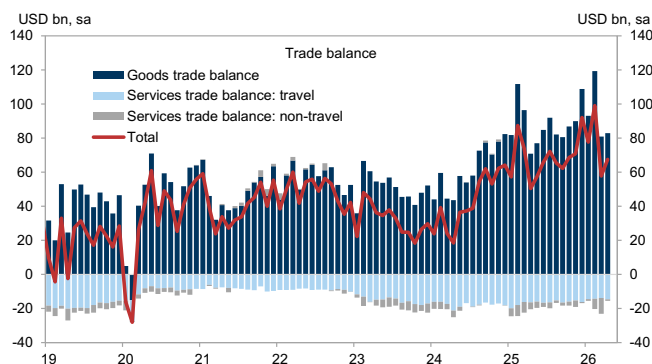
Exhibit 9: USD/CNY fixing descent accelerated somewhat in late May



Source: PBOC

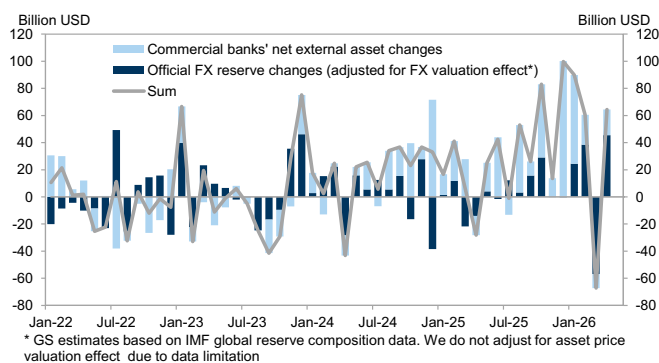
3. Fundamentals

Exhibit 10: China's trade balance fell from Jan-Feb to Mar-Apr on lower goods trade surplus



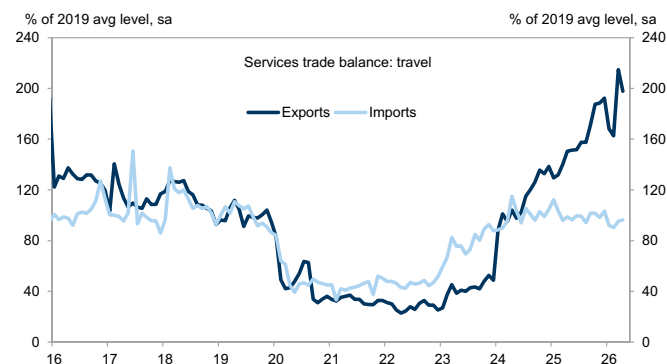
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 12: Both banks' net external assets and official FX reserves rose from March to April



Source: PBOC, CEIC, Data compiled by Goldman Sachs Global Investment Research

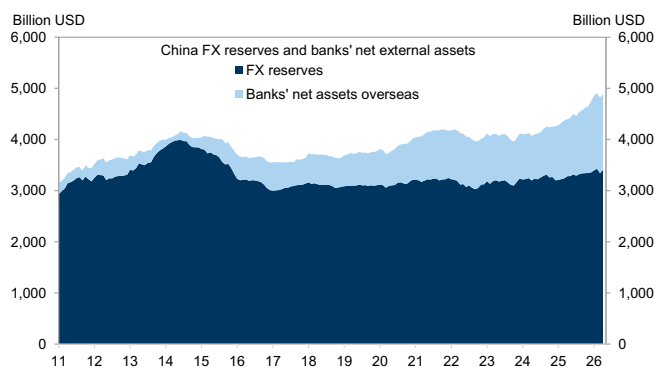
Exhibit 11: China's travel exports stood at about 198% of 2019 levels in April 2026, and travel imports were around 96% of 2019 levels



Travel imports are defined as the overseas spending of China's residents for tourism, education and medical services; travel exports are defined as non-residents' spending in China. Both include tourism spending.

Source: Haver Analytics, Goldman Sachs Global Investment Research

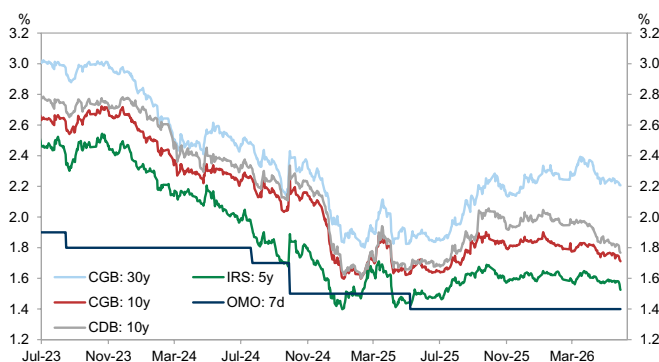
Exhibit 13: As of April 2026, China's official FX reserves stood at USD 3411bn, while commercial banks held USD 1491bn net external assets



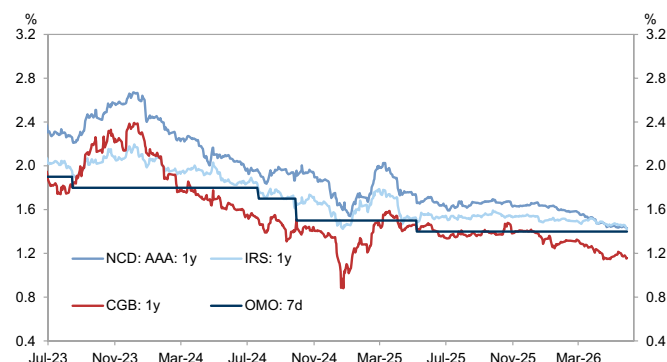
Source: PBOC, CEIC, Data compiled by Goldman Sachs Global Investment Research

Rates

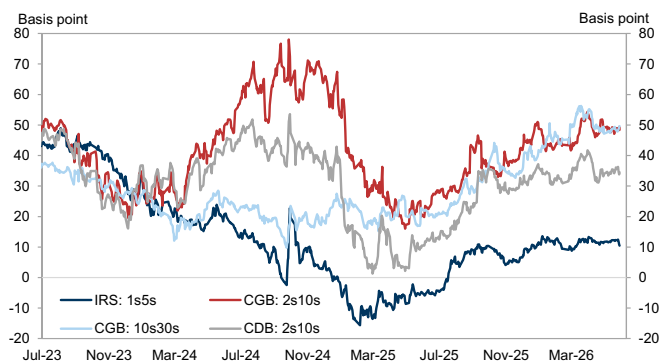
1. Levels and term structure

Exhibit 14: Long-term rates moved lower over the past two months

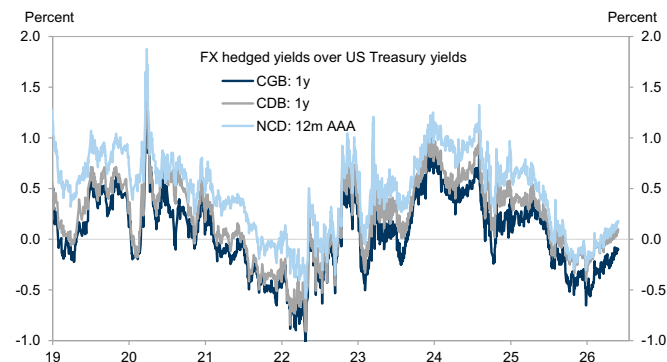
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 15: 1y CGB yields fell below 1.2% from mid-April and front-end yields trended lower over the past two months

Source: Wind

Exhibit 16: The slopes of cash bond and IRS curves were roughly stable in Apr-May 2026

Source: Wind, Goldman Sachs Global Investment Research

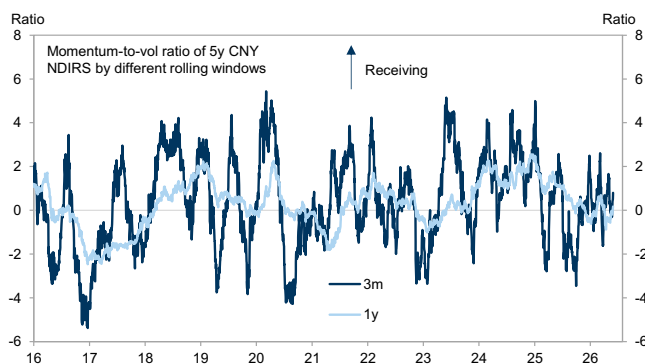
Exhibit 17: FX hedged yields of short-term bonds rose relative to UST yields over the past few months, primarily reflecting the declines in FX forward points

CGB: Central government bonds, CDB bond: bonds issued by China Development Bank, NCD: Negotiable certificates of deposit.

Source: Bloomberg, Wind, Goldman Sachs Global Investment Research

2. Technicals

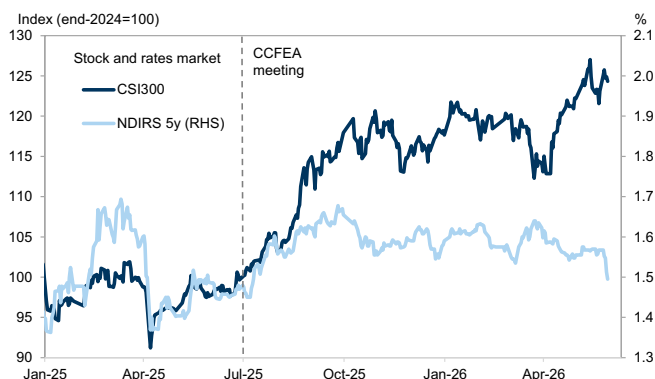
Exhibit 18: Momentum to receive CNY rates fluctuates around zero in 2026 so far, suggesting a lack of clear direction



Momentum is defined as annualized rolling spot returns for a period, and volatility refers to realized volatility of spot returns for a period.

Source: Bloomberg, Goldman Sachs Global Investment Research

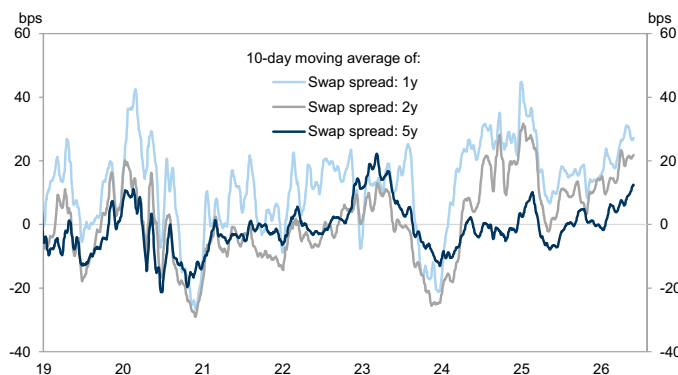
Exhibit 19: Equities moved sideways recently while IRS rates declined around the month end



The Central Commission for Financial and Economic Affairs (CCFEA) meeting chaired by President Xi on 1 July called for regulating disorderly price-cutting and excessive competition among producers.

Source: Bloomberg, Wind

Exhibit 20: Front-end swap spreads widened towards previous highs over the past few months

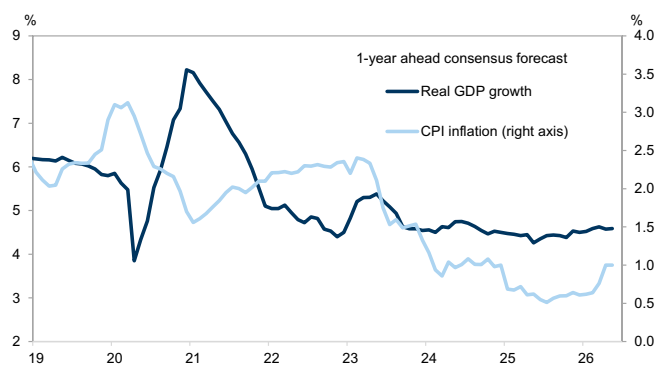


Swap spread: onshore IRS rates minus CGB yields.

Source: Wind, Goldman Sachs Global Investment Research

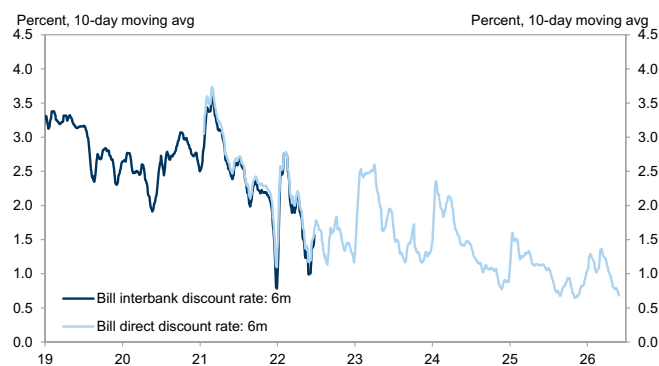
3. Fundamentals

Exhibit 21: 1-year ahead consensus forecast of CPI inflation rose to 1% over the past two months



Source: Consensus Economics, Goldman Sachs Global Investment Research

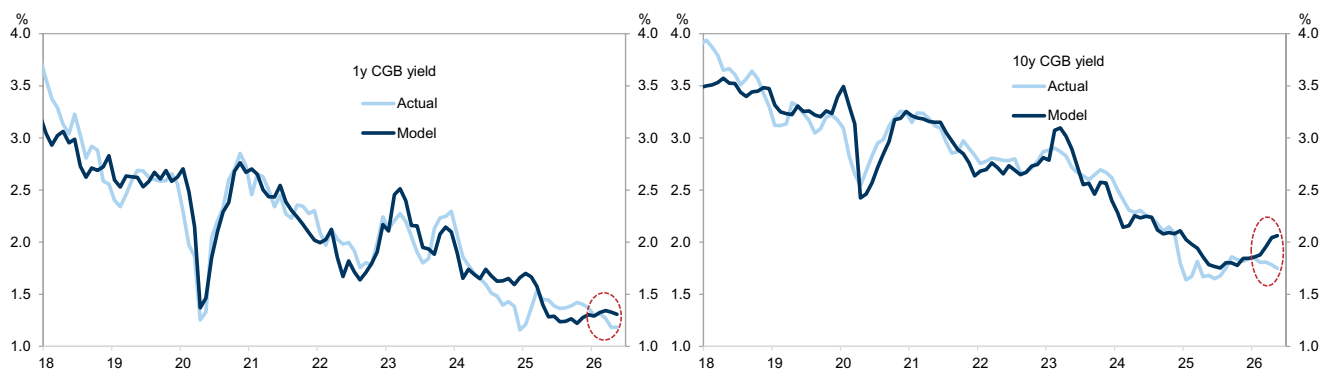
Exhibit 22: Bill discount rate has been declining since March 2026, signaling soft loan demand



Bill interbank discount rates discontinued since June 2022. As interbank discount rates co-move with direct discount rates closely, we use direct discount rate as a proxy thereafter.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 23: Both 1y and 10y CGB yields fell below model implied “fair value” since March 2026

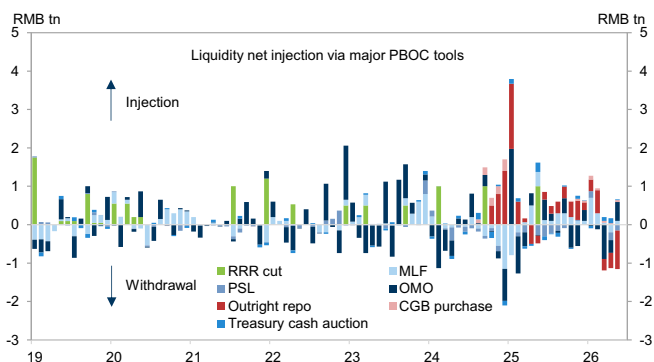


We calibrate a simple OLS model to examine the drivers of CGB yields, including 1-year ahead growth/inflation forecast, 1y/10y UST yields, and the spread between OMO target and 7d repo fixing. We adjust the model output from August 2025 to reflect the removal of the VAT exemption on interest income.

Source: Wind, Goldman Sachs Global Investment Research

4. Liquidity and leverage

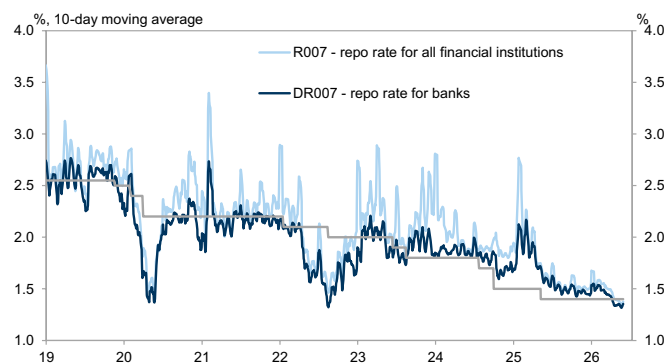
Exhibit 24: The PBOC conducted liquidity withdrawals mainly through outright repos in May



OMO: open market operation (7/14 day pledged reverse repos); MLF: medium term lending facilities; PSL: pledged supplementary lending.

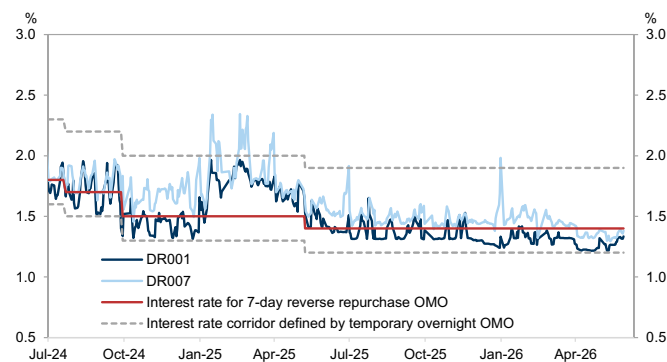
Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 26: 7-day interbank repo rates remained below the OMO target in April and May



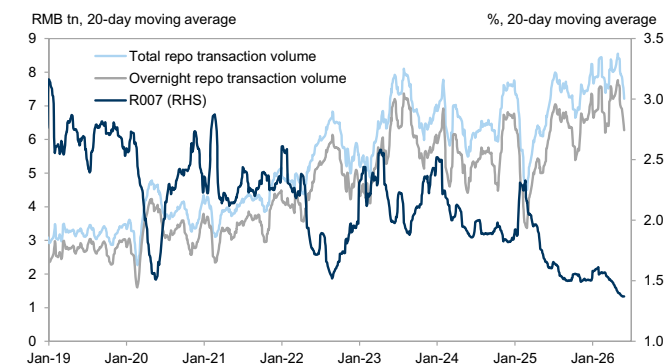
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 25: The overnight repo rate for banks picked up somewhat amid the month end liquidity demand



Source: CEIC, Goldman Sachs Global Investment Research

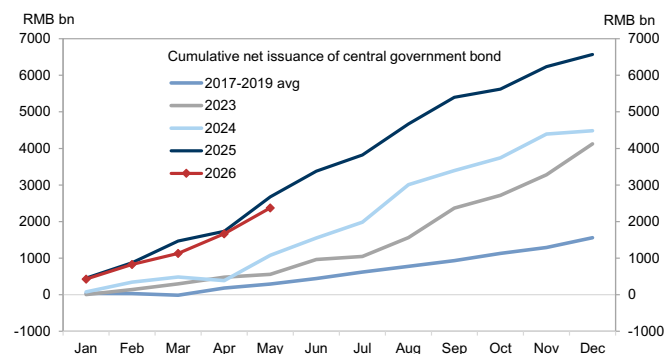
Exhibit 27: Financial leveraging in the bond market remained elevated while repo rates reached historic lows



Source: Wind, Goldman Sachs Global Investment Research

5. Bond supply and demand

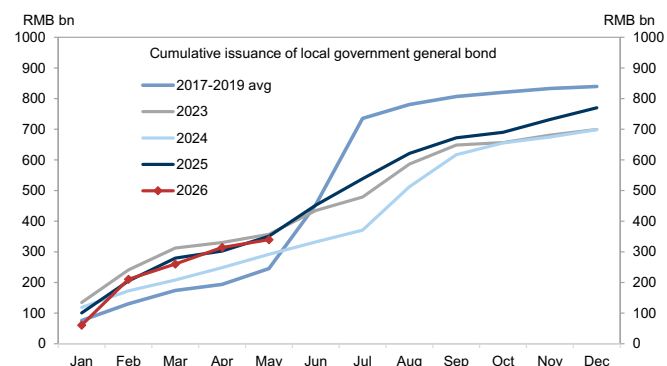
Exhibit 28: Net issuance of central government bonds was around RMB 708bn in May, slower than the pace in 2025



As of May 2026, the central government has utilized 36% of the annual CGB issuance quota. Central government bonds include both central government general bonds and central government special bonds.

Source: Wind, Goldman Sachs Global Investment Research

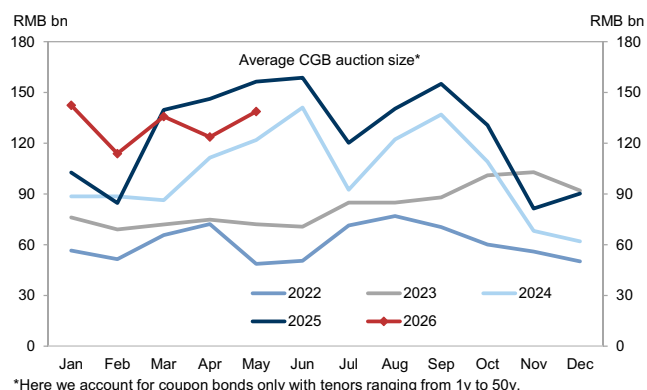
Exhibit 30: Net issuance of local government general bonds was around RMB26bn in May



As of May 2026, local governments have utilized 43% of their general bond issuance quota. Here we refer to local government general purpose new bonds. We do not include those for refinancing and debt swaps.

Source: Wind, Goldman Sachs Global Investment Research

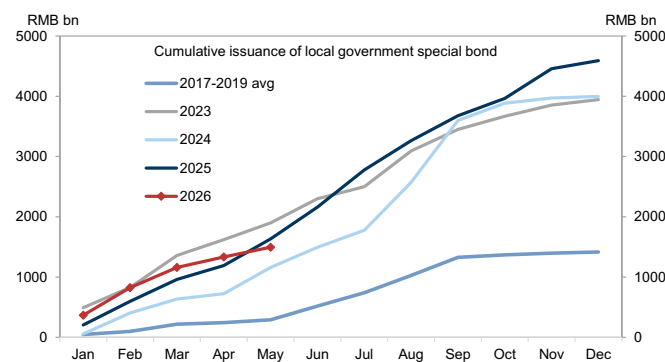
Exhibit 29: The average CGB auction size in April-May was lower than levels seen in 2025



*Here we account for coupon bonds only with tenors ranging from 1y to 50y.

Source: Wind, Goldman Sachs Global Investment Research

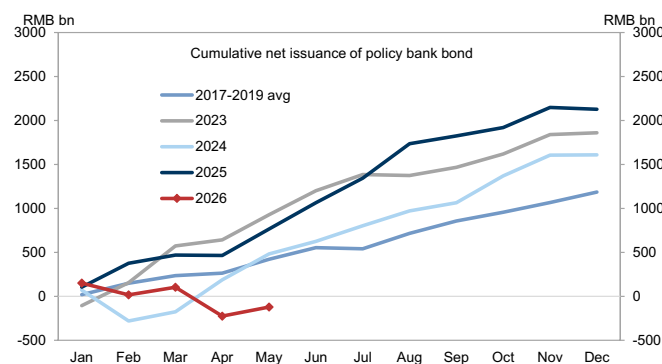
Exhibit 31: Issuance of local government special bonds was around RMB 161bn in May, much slower than the pace in 2025



As of May 2026, local governments have utilized 34% of their special bond issuance quota. The central government approved additional RMB500bn quota for LGB issuance in Q4 2025, with RMB200bn earmarked for LGSB issuance. Here we refer to local government special purpose new bonds. We do not include those for refinancing and debt swaps. In 2022, the government approved around RMB500bn additional quota for LGSB issuance.

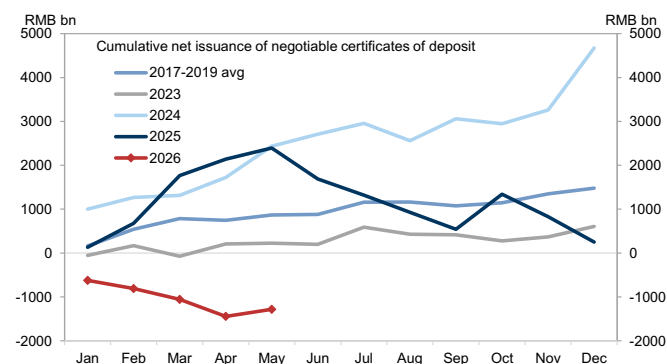
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 32: The outstanding policy bank bonds rose by RMB 104bn in May



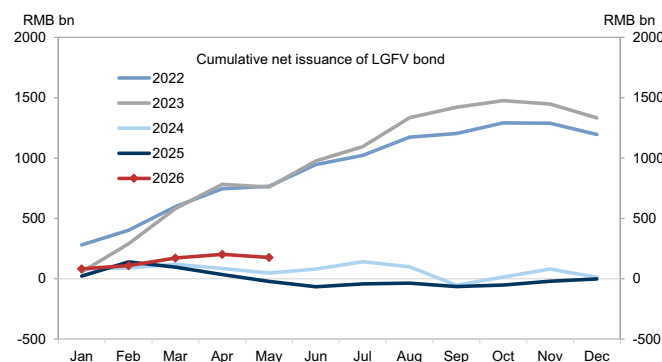
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 33: The outstanding amount of NCD increased by RMB 163bn in May



Source: Wind, Goldman Sachs Global Investment Research

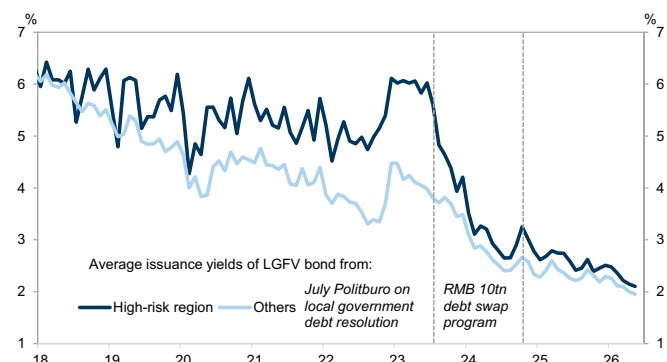
Exhibit 34: Year-to-date LGFV bond net issuance was RMB177bn as of May



We revamp our LGFV bond issuance tracker based on the list of LGFVs from YY rating.

Source: Wind, Goldman Sachs Global Investment Research

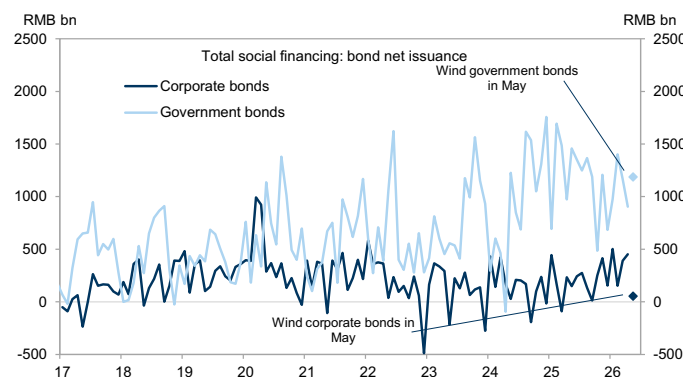
Exhibit 35: LGFV bond issuance yields declined over the past few months



We calculate size-weighted average of issuance yields. High-risk region includes Tianjin, Inner Mongolia, Liaoning, Jilin, Heilongjiang, Guangxi, Chongqing, Guizhou, Yunnan, Gansu, Qinghai, and Ningxia.

Source: Wind, Goldman Sachs Global Investment Research

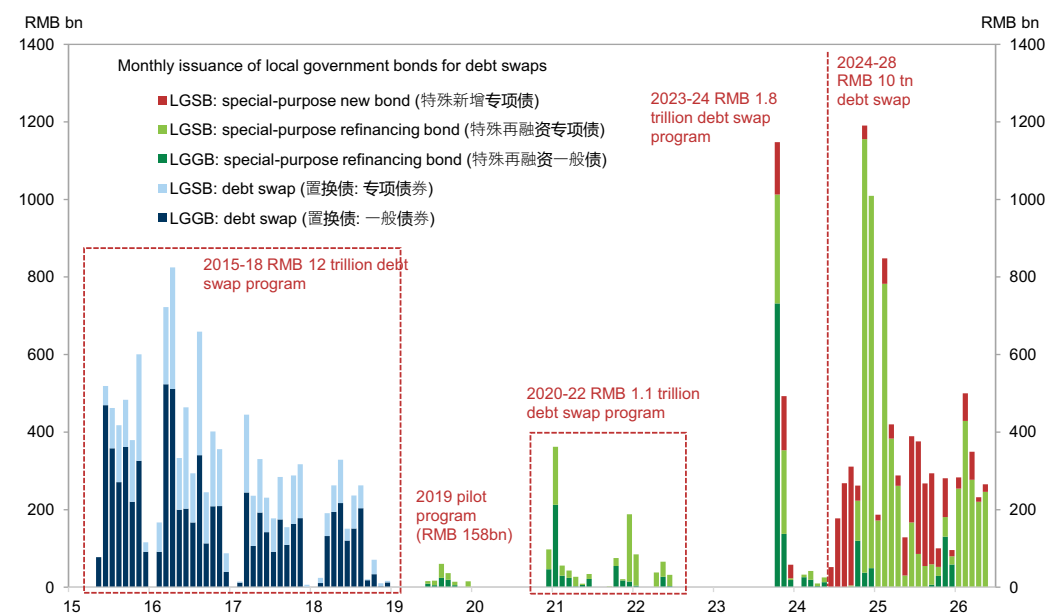
Exhibit 36: Government bond net issuance under Total Social Financing (TSF) rose from April to May (around RMB 1188bn), while corporate bond net issuance fell



Here we adjust government bond issuance data for the statistical discrepancies between Wind and TSF.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 37: Special-purpose refinancing bond issuance was around RMB 1.4 trillion in Jan-May 2026 (around 70% of the 2026 quota), while LGSB special-purpose new bond issuance was around RMB 200bn (25% of the 2026 quota)



LGGB stands for local government general bond, and LGSB stands for local government special bond. General bonds finance non-revenue public works (e.g., fire stations) and are repaid by general public budget revenues, such as taxes. Special bonds fund revenue-generating projects (e.g., toll highways) and are repaid via designated project income. The latest debt swap program includes 1) RMB 800bn of special-purpose new bond annually in 2024-28, and 2) RMB 2 trillion of refinancing bond per year in 2024-26. Unused local government bond quota was deployed for debt resolution in both Q4 2024 and Q4 2025, amounting to RMB 400bn and RMB 300bn, respectively.

Source: Wind, Goldman Sachs Global Investment Research

Exhibit 38: Banks bought government bonds and NCDs in April, while funds sold NCDs

Single month flow of bond demand by investors in April 2026

RMB bn	Rates bonds			Non-financial credit bonds					NCD	Commercial bank bond
	CGB	LGB	PBB	Enterprise bond	SCP	CP	MTN	PPN		
Commercial banks	144.8	659.5	-75.2	-11.4	19.8	-0.3	50.1	-5.4	201.9	-86.4
Funds	123.4	192.1	-150.4	-11.8	48.8	-1.1	184.7	0.4	-625.0	-110.3
Foreign investors	-9.8	6.4	-20.9	0.0	0.3	-0.2	0.7	0.3	-40.1	-0.2
Securities	58.9	60.6	-4.2	-2.3	2.1	-0.1	-7.7	-2.7	-24.0	-8.7
Insurance	-38.3	33.1	-23.8	-0.5	-0.9	0.1	-0.8	0.0	-1.5	-2.5

CGB: Central government bonds, LGB: Local government bonds, PBB: Policy bank bonds, NCD: Negotiable certificate of deposits, SCP: Super & short-term commercial paper, CP: Commercial paper, MTN: Medium term note, PPN: Private placement note.

Source: Wind, Goldman Sachs Global Investment Research

Appendix: Summary of FX policy announcements and market color

In this appendix, we summarize the major FX policy announcements since 2020 as well as notable FX-related news in China. Following the classification in [a previous note](#), each announcement is labeled as one of four groups: price, liquidity, capital flow and verbal guidance. In the event of a sharp exchange rate move, such as a 1% depreciation in 10 days, the PBOC may step in to stabilize the USDCNY spot rate with various tools. The impacts tend to be short-lived on a daily basis, but they do slow the pace of exchange rate moves (please see our [previous note](#) for additional details).

Exhibit 39: A summary of major FX policy (and related news) to stabilize exchange rates

Date	Category	FX policy and market color
Mar-20	Capital flow	PBOC and SAFE announced that the macro-prudential adjustment parameter for cross-border financing of financial institutions would be increased from 1 to 1.25
Oct-20	Liquidity	PBOC lowered the risk reserve requirement ratio for FX forward sales from 20% to 0%
Oct-20	Price	Media reported that CNY countercyclical factor was phased out
Dec-20	Capital flow	PBOC and SAFE reduced macro-prudential adjustment parameter for cross-border financing of financial institutions from 1.25 to 1
Dec-20	Price	Media reported that China's major state-owned banks were seen buying U.S. dollars to ease sharp yuan rally
Jan-21	Capital flow	PBOC adjusted the currency conversion factor of foreign currency overseas loan balance to 0.5 from 0
Jan-21	Capital flow	PBOC and SAFE raised macro-prudential adjustment parameter for overseas lending by domestic enterprises from 0.3 to 0.5
Jan-21	Capital flow	PBOC and SAFE lowered macro-prudential adjustment parameter for cross-border financing of enterprises from 1.25 to 1
Jun-21	Liquidity	PBOC raised the foreign exchange deposit reverse ratio from 5% to 7%
Dec-21	Liquidity	PBOC further increased the foreign exchange deposit reverse ratio from 7% to 9%
May-22	Liquidity	PBOC announced to lower the foreign exchange deposit reverse ratio from 9% to 8%, the first downward revision since 2017
Sep-22	Liquidity	PBOC lowered the foreign exchange deposit reverse ratio from 8% to 6%
Sep-22	Price	Media reported that the Chinese monetary authorities revived CNY countercyclical factor
Sep-22	Liquidity	PBOC raised the risk reserve requirement ratio for FX forward sales from 0% to 20%
Sep-22	Price	Media reported that PBOC has asked major state-owned banks to sell dollars for yuan in offshore markets
Oct-22	Capital flow	PBOC and SAFE decided to increase macro-prudential adjustment parameter for cross-border financing of both financial institutions and enterprises from 1 to 1.25
Oct-22	Price	Media reported that China's key state-owned banks sold U.S. dollars to prop up the weakening yuan in both onshore and offshore spot markets
Jun-23	Price	Media reported that PBOC set a stronger-than-expected trading band for the yuan and state banks sold dollars
Jul-23	Capital flow	PBOC and SAFE further raised macro-prudential adjustment parameter for cross-border financing of both financial institutions and enterprises from 1.25 to 1.5
Jul-23	Price	Media reported that China's key state-owned banks were seen selling U.S. dollars to support yuan in both onshore and offshore spot markets
Aug-23	Price	Media reported that China's commercial banks were asked to reduce or postpone their purchases of U.S. dollars to slow the yuan's depreciation
Aug-23	Price	Media reported that China's major state-owned banks were seen a few times selling U.S. dollars to buy yuan in both onshore and offshore spot foreign exchange markets to slow the yuan's depreciation
Aug-23	Price	Media reported that PBOC was seen squeezing the CNH funding
Aug-23	Price	Media reported that PBOC has asked some domestic banks to limit some Bond Connect outflows to ensure less supply of yuan in offshore markets
Sep-23	Liquidity	PBOC announced to lower the foreign exchange deposit reverse ratio from 6% to 4%, starting from 15th Sep
Sep-23	Price	Media reported that PBOC has asked some big banks to stagger and adjust dollar purchases to alleviate downward pressure on the yuan
Sep-23	Capital flow	Media reported PBOC approval required for bulk USD purchases of more than USD50mn
Sep-23	Liquidity	CNH funding remained tight in September on additional RMB10bn issuance of PBOC CNH bills and window guidance to state banks
Oct-23	Capital flow	Media reported that CSRC has banned new offshore brokerage investments by existing mainland clients to prevent investors from bypassing China's foreign exchange controls
Nov-23	Price	Media reported that China's major state-owned banks are actively buying yuan to speed up its recovery against weaker dollar
Nov-23	Capital flow	SAFE is working on simplifying forex procedures by rolling back requirements on the outflow of funds for the dollar-denominated qualified foreign institutional investor scheme (QFII) and its yuan-denominated sibling, RQFII, among other optimized procedures
Dec-23	Price	Media reported that China's major state-owned banks actively sold dollars to support yuan
Jan-24	Liquidity & Price	Media reported that China's major state-owned banks tightened offshore CNH liquidity and actively sold dollars onshore to support yuan as stock markets tumbled
Mar-24	Price	Media reported that China's major state-owned banks actively sold dollars for yuan
Apr-24	Price	Media reported that China's major state-owned banks actively sold dollars for yuan
Jun-24	Price	Media reported that China's major state-owned banks actively sold dollars for yuan
Aug-24	Price	Media reported that China's major state-owned banks bought dollars amid rapid yuan gains
Jan-25	Verbal	PBOC pledged to enhance the "resilience" (韧性) of FX market rather than the "flexibility" (弹性), suggesting a shift toward controlling the speed of depreciation upon US tariff announcements
Jan-25	Capital flow	PBOC and SAFE further raised macro-prudential adjustment parameter for cross-border financing of both financial institutions and enterprises from 1.5 to 1.75
Apr-25	Price	Media reported that China's major state-owned banks actively sold dollars to stabilize USDCNY spot
May-25	Price	Media reported that China's major state-owned banks bought dollars amid rapid yuan gains
Jul-25		<i>Reuters reported that PBOC surveyed banks on USD weakness, signaling concerns over sharp CNY appreciation</i>
Aug-25		<i>Reuters reported that China's exporters bet on a steady Yuan with record high sales of USD/CNY option, avoiding FX conversions</i>
Sep-25	Price	Bloomberg reported that China's major state-owned banks actively bought dollars to slow CNY appreciation
Dec-25	Price	Reuters reported that China's major state-owned banks actively bought dollars to slow CNY appreciation
Mar-26	Liquidity	PBOC lowered the risk reserve requirement ratio for FX forward sales from 20% to 0%
Mar-26	Capital flow	PBOC and SAFE raised macro-prudential adjustment parameter for overseas lending by domestic enterprises from 0.5 to 0.6

Note: There were very likely more capital control measures during this period that were not formally announced/confirmed. Please refer to examples in Asia Economics Analyst: Positive structural developments could help offset capital outflow pressures in China, August 2019.

Source: Reuters, Data compiled by Goldman Sachs Global Investment Research

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